Board of Education Meeting

Budget Training: Proposal through Adoption



PORTLAND
Public Schools

April 14, 2026

DISTRICT INFORMATION

LARGEST DISTRICT IN OREGON

NUMBER OF SCHOOLS

45 ELEMENTARY		10 HIGH
11 K-8	14 MIDDLE	1 K-12

BOARD MEMBERS

Zone 1
Christy Splitt

Zone 2
Michelle DePass (Vice-Chair)

Zone 3
Patte Sullivan

Zone 4
Rashelle Chase-Miller

Zone 5
Virginia La Forte

Zone 6
Stephanie Engelsman

Zone 7
Edward (Eddie) Wang (Chair)

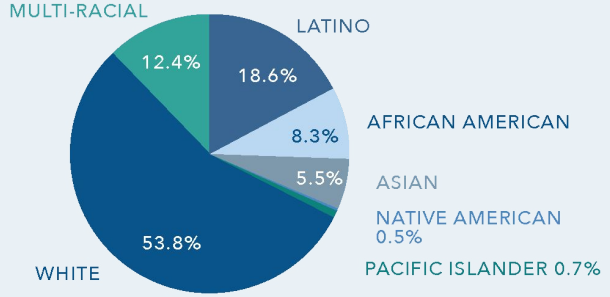
Student Representative
Ian Ritorto

STUDENT ENROLLMENT*

44,086 TOTAL

41,630	794	356	1,306
STUDENTS IN DISTRICT SCHOOLS	STUDENTS IN COMUNITY BASED PROGRAMS	STUDENTS IN SPECIAL SERVICES PROGRAMS	STUDENTS IN PUBLIC CHARTER SCHOOLS

STUDENT INFORMATION



RECEIVE ESL SERVICES
10%

ELIGIBLE FOR FREE MEALS via direct certification
31.3% 2023-24 school year

RECEIVE SPED SERVICES
17%

District Continuous Improvement Plan GOAL AREAS

- ATTENDANCE
- LITERACY
- MATH
- 9th Grade SUCCESS

*Numbers are approximate

TOGETHER, WE *RISE*

WITH **EXCELLENCE.** WITH **PURPOSE.**

Agenda

- Local Budget Law
- The Budget: A Spending Guideline
- PPS Principles, Goals & Equity
- The Budget Process
- Revenue Sources, Expenditures, and Fund Balance
- Budget Development Roles and Development
- Budget Book Components
- Budget Calendar and Activities



Local Budget Law (Oregon)

- Establish Standard Procedures
- Outline programs & fiscal policies
- Require estimates of resources & requirements (revenue & expense).
- Encourage citizen involvement
- Control the spending of public funds



The Budget: A Spending Guideline

- A Financial Plan
- For one fiscal year (July 1 – June 30)
- Based on “good faith” estimates of revenue & expenditures
- The budget is the basis for appropriations at the major fund and function level
- Creates the authority to spend public money upon Adoption

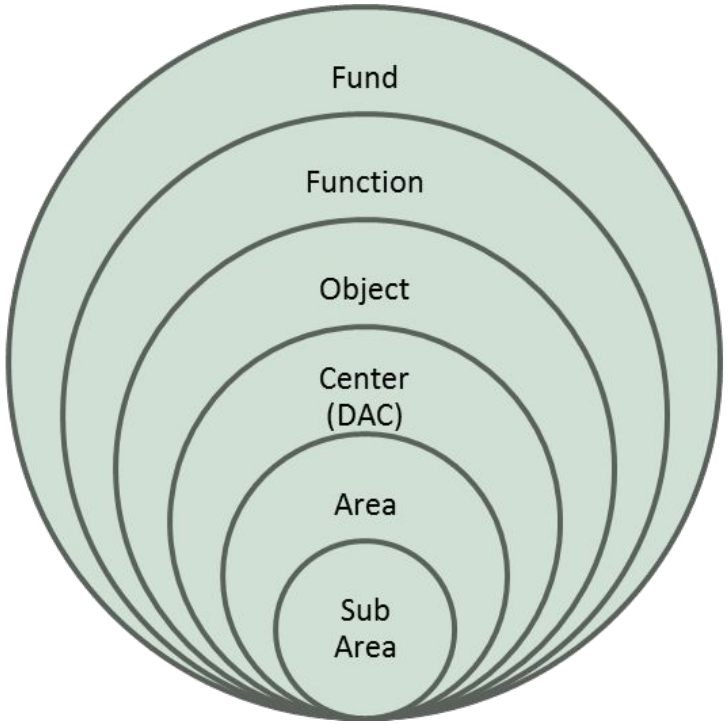


Chart of Accounts required by the Oregon Department of Education

Ongoing 2026-27 Budget Engagement

- Engagement and Outreach
  - Principal Recommendations
  - Union Partners Updates
  - Staff/Educators
  - Community Partners
  - Students and Families
- Preliminary Recommendation for Reductions is under circulation
- Feedback used to inform school staffing
- Transparency Website and Video Series



Budget Principles

Principles create a shared understanding of the overarching values that underpin budget development.

- ➔ **Providing students with an exceptional educational experience and ensuring their academic success should drive the budget process**
- ➔ **Decisions should be driven by data**
- ➔ **Base resourcing decisions on cost-effectiveness**
- ➔ **Prioritize the Core Program in all schools**
- ➔ **Critically re-examine patterns of spending**
- ➔ **Provide every student with equitable access**
- ➔ **Take a long-term perspective**
- ➔ **Be transparent**

District Continuous Improvement Plan:
Four Goal Areas



TOGETHER, WE RISE

WITH **EXCELLENCE.** WITH **PURPOSE.**

Budget Development Roles and Process

Roles in Budget Development

Superintendent
Define vision and priorities;
set and staff organizational structure;
propose budget

Cabinet Leaders
Inform and enable vision and priorities; lead coordinated initiatives

Cross-Functional Teams
Coordinate process and produce deliverables

Principals
Inform priorities; implement staffing and budget



Board of Education
Set direction; serve as Budget Committee;
approve levies and appropriations;
receive public comment

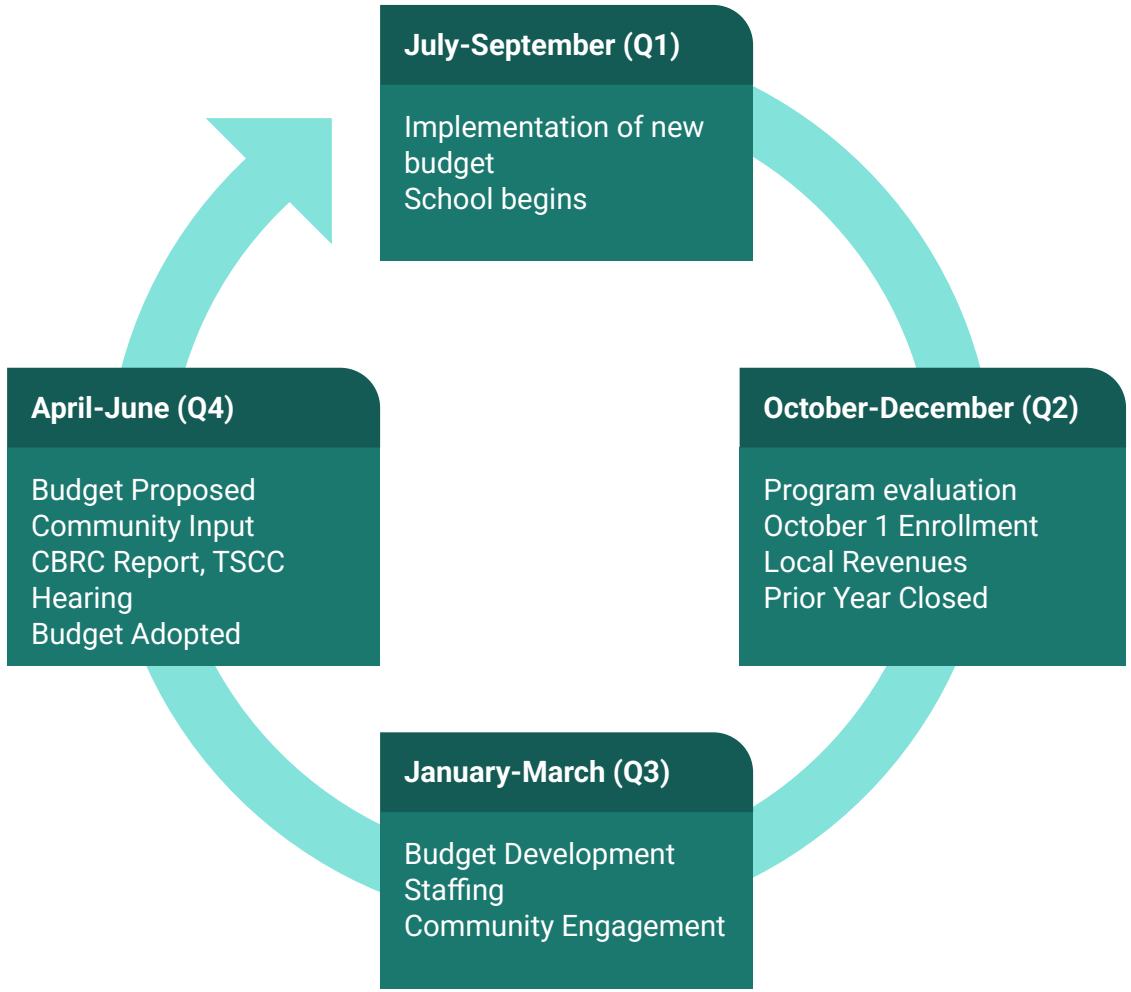
Community Budget Review Committee
Review budget and local option levy;
make recommendations to the Board

Tax Supervising and Conservation Commission
Certify approved budget and tax levies

Students, PPS Teams, Community Members, Partners
Inform priorities, elevate insights and impacts

Budget Development

1. The Budget Team provides estimates for anticipated revenue and expenses based on historical trend and current available data.
2. A surplus or deficit is identified.
3. Leadership is engaged to determine next steps.
4. Initial planning and engagement occurs, feedback is shared with the community at large.
5. Preliminary scheduling and school staffing is completed per timelines agreed to with labor partners for the upcoming school year.
6. The Budget will be formerly proposed with the Superintendent's Budget Message.
7. Community engagement, public comment, Community Budget Review Committee Report, and TSCC Hearing occur.
8. The Board Approves and Adopts the Budget with or without modifications.



Budget Assumptions

Each budget assumptions generates an ***ESTIMATE*** that changes over time as ***ACTUAL*** data becomes available.

REVENUE	EXPENDITURES
Fund Balance- Estimate of remaining contingency from the prior year	**Contingency-** Targeted end fund balance, minimum target of 5% expenditures
Local Revenue- Property Taxes, Arts Tax, Local Option Levy, Gap Tax	**By Function-** Instruction, Support Services, Community Services, Capital Improvements
State Sources- State School Fund, Common School Fund, High Cost Disability	**By Object*-** Salaries, Associated Payroll Costs, Services, Supplies, Capital Equip/Improvments, Other
Other- Interest earnings, Fees, Indirect Rate (charged to grants)	**Estimates based on-** historical data, current available information, non-operational resources available, and projected contingencies

* 82% of Expenditures are Personnel Costs (Salaries and Associated Payroll Costs)

Budget Book Components

Volume I- Meets all ASBO International Best Practices and Local Budget Law Requirements

- Executive Summary
- Organizational Section
- Financial Section
- Informational Section
- Appendix

Volume II- OPTIONAL and based on Proposed Budget (not final)

- School Summary
- Heat map of estimates costs per student
- Individual School Reports



Volume I Financial Section

- Account code overview
  - Chart of account required by the Oregon Department of Education Program and Budgeting Manual
  - Custom coding for PPS specific items
- “All Funds” Summary Table and Projections
- Major Funds
  - Resources and Requirement Tables
  - Programming descriptions
  - 100s- General Fund Operating Budget
  - 200s- Special Revenue Funds (Restricted)
  - 300s- Debt Service (Restricted)
  - 400s- Capital Projects (Restricted)
  - 600s- Internal Service Fund



Budget Calendar and Activities

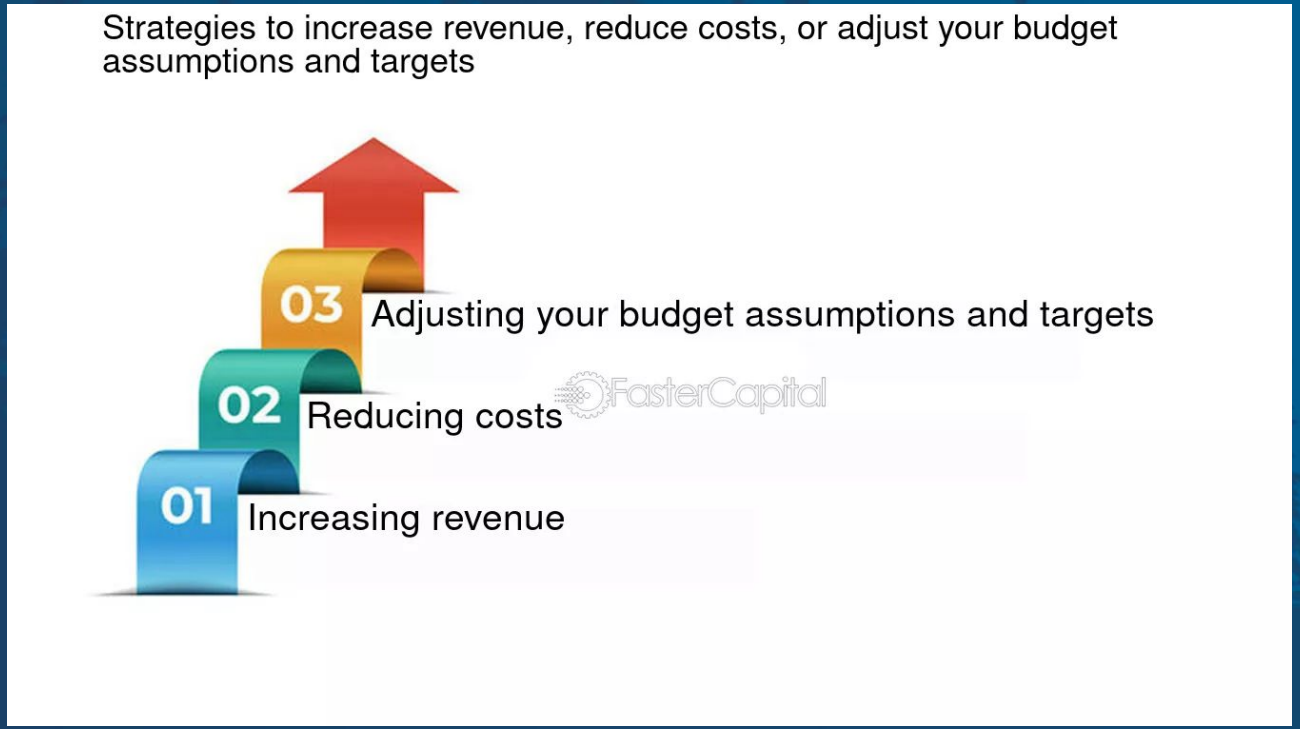
March 10, 2026	***Budget Update***
March 31, 2026	***School Board Budget Work Session with CBRC***
April 14, 2026	***Budget Training (Full Board)***
April 28, 2026	***Budget Committee Meeting (School Board Work Session)*** **Proposed Budget:** Superintendent delivers 2026-27 Proposed Budget message and presentation
May 12, 2026	***School Board Meeting*** CBRC presents 2026-27 Proposed Budget Report to the Board Board discussion and feedback focused on the budget
May 13, 2026	***Budget Committee Meeting and Budget Work Session*** Board conducts a public hearing and work session on the Proposed Budget
May 26, 2026	***Budget Committee Meeting*** **Approved Budget**: Board as Budget Committee approves 2026-27 Proposed Budget
June 23, 2026	***TSCC Hearing (pending TSCC confirmation)*** TSCC certifies 2026-27 Approved Budget ***School Board Meeting*** **Adopted Budget:** Board conducts a public hearing, adopts budget, makes appropriations, and imposes taxes

FY 27 Custom Interactive Engagement Tool



Questions?

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Chief Financial Officer
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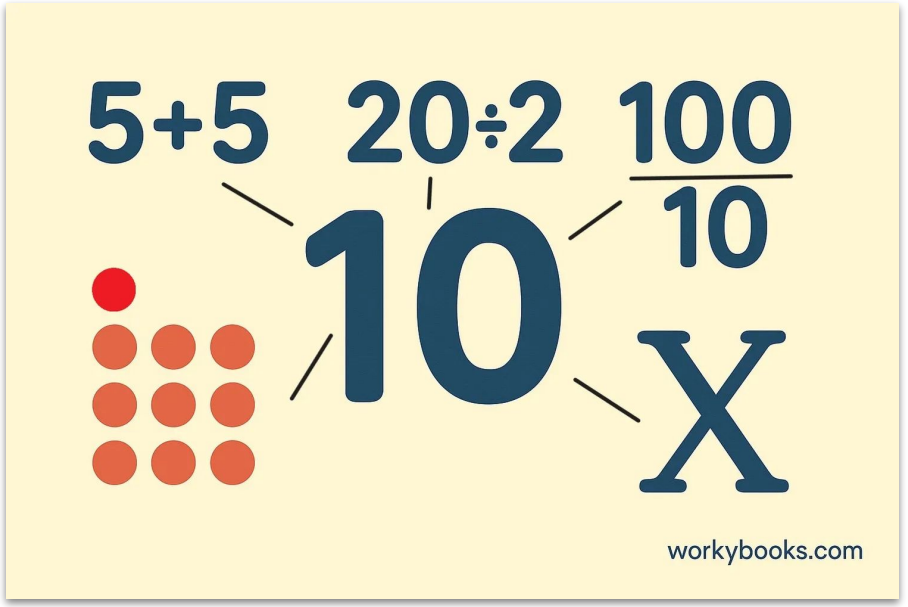
Appendix

Prior period highlights and reference slides.

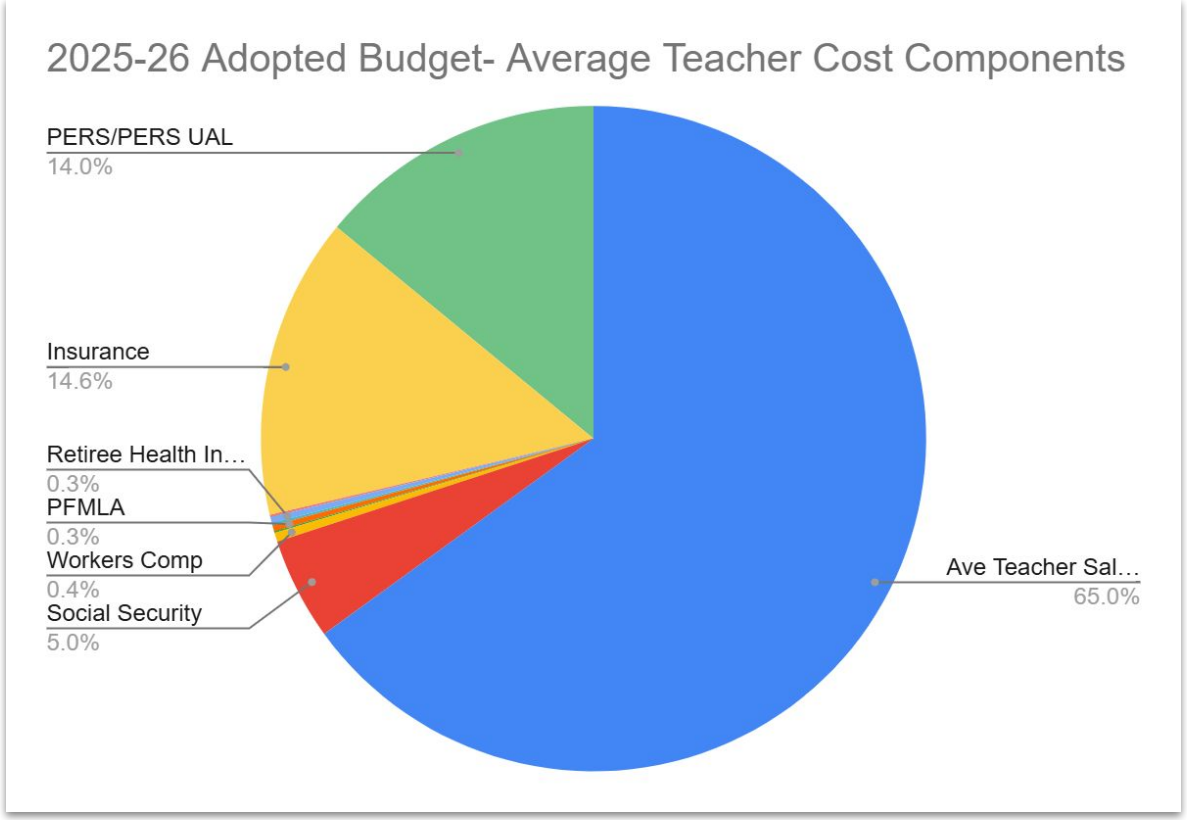
$50 million Budget Gap for 2026-27

Equivalent Values:

- $1,179 per student (42,404 students)
- 14.5 school days ($3.5 million each)
- 312.5 Educator FTEs ($160k each)
- 650 Paraeducators/Instructional Assistant FTE
- 12.5 Annual Elementary School operating budgets ($4.0 million each)
- + 3.0 Student to Classroom Teacher Ratio (averaged across system)



Board Information Requests



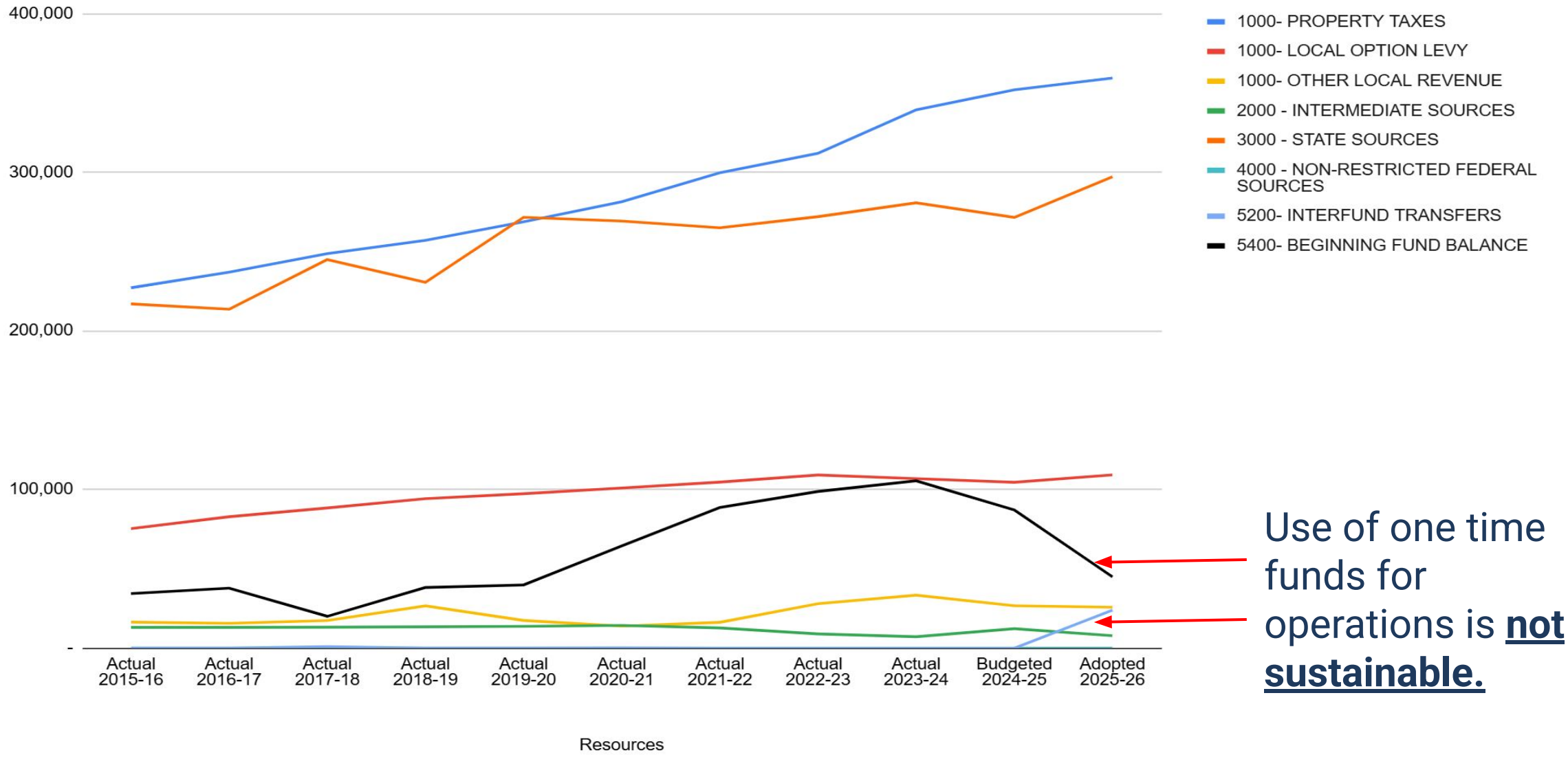
Ave Teacher Salary	$104,579
Social Security	$8,000
Workers Comp	$711
Unemployment Comp	$105
PFMLA	$471
Other Employer Paid Benefits	$188
Retiree Health Insurance	$492
Early Retirement Benefits	$167
Insurance	$23,561
PERS/PERS UAL	$22,578
Total Cost Per FTE	**$160,851**

Unfunded Mandates and Valuation

- Research based on COSA Legislative Reports
  - 2025, 2024
  - 2023, 2022, 2021
- Long-standing rules
  - Division 22 Requirements
  - FAPE (Free and Appropriate Education)
  - Participation in the Public Employee Retirement System
  - Providing equitable access and instruction to English Learners
  - Student Transportation and Access



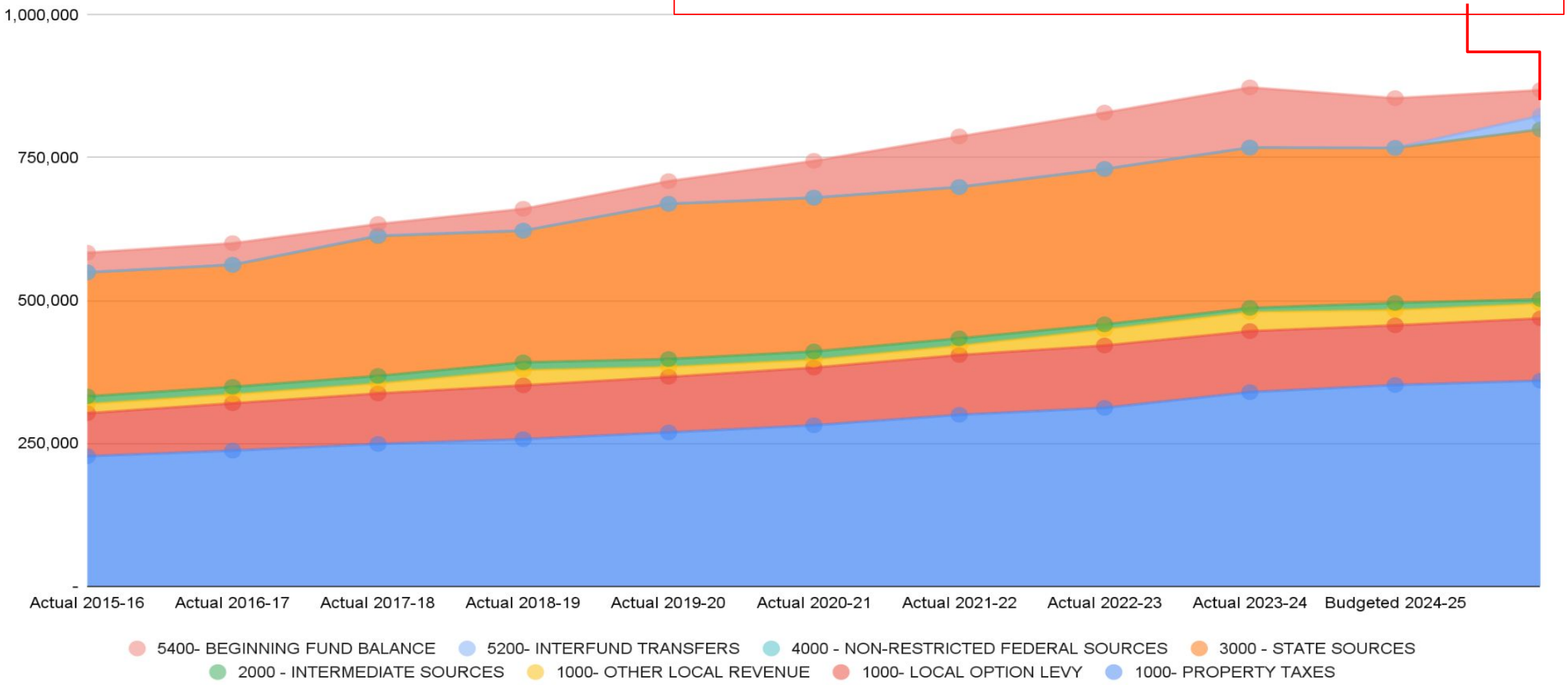
2015-16 to 2025-26 General Fund Revenue (In Thousands)



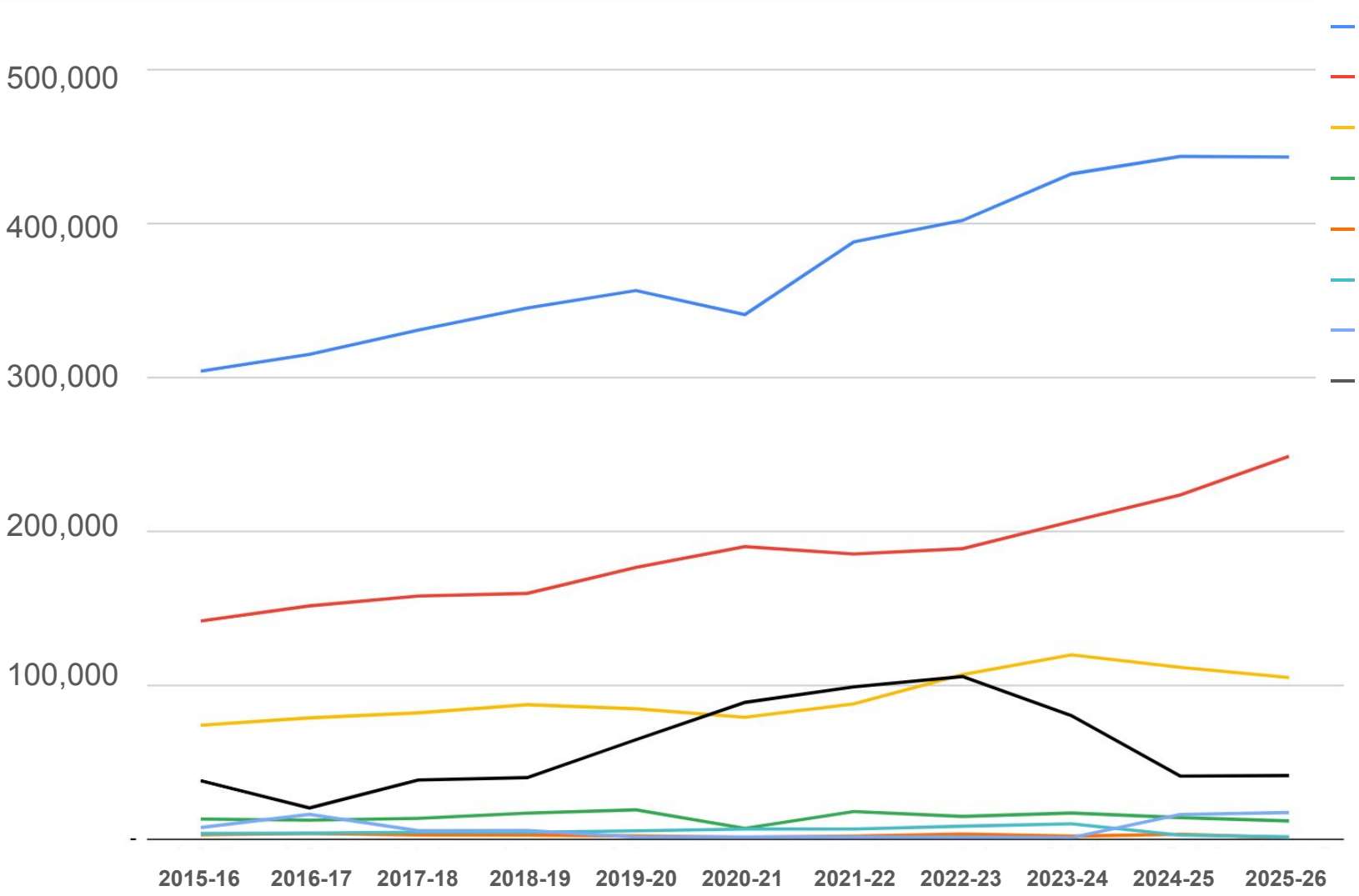
Use of one time funds for operations is **not sustainable.**

2015-16 to 2025-26 General Fund Revenue (In Thousands)

2025-26 transfer of full reserves as fund balance reached the minimum.

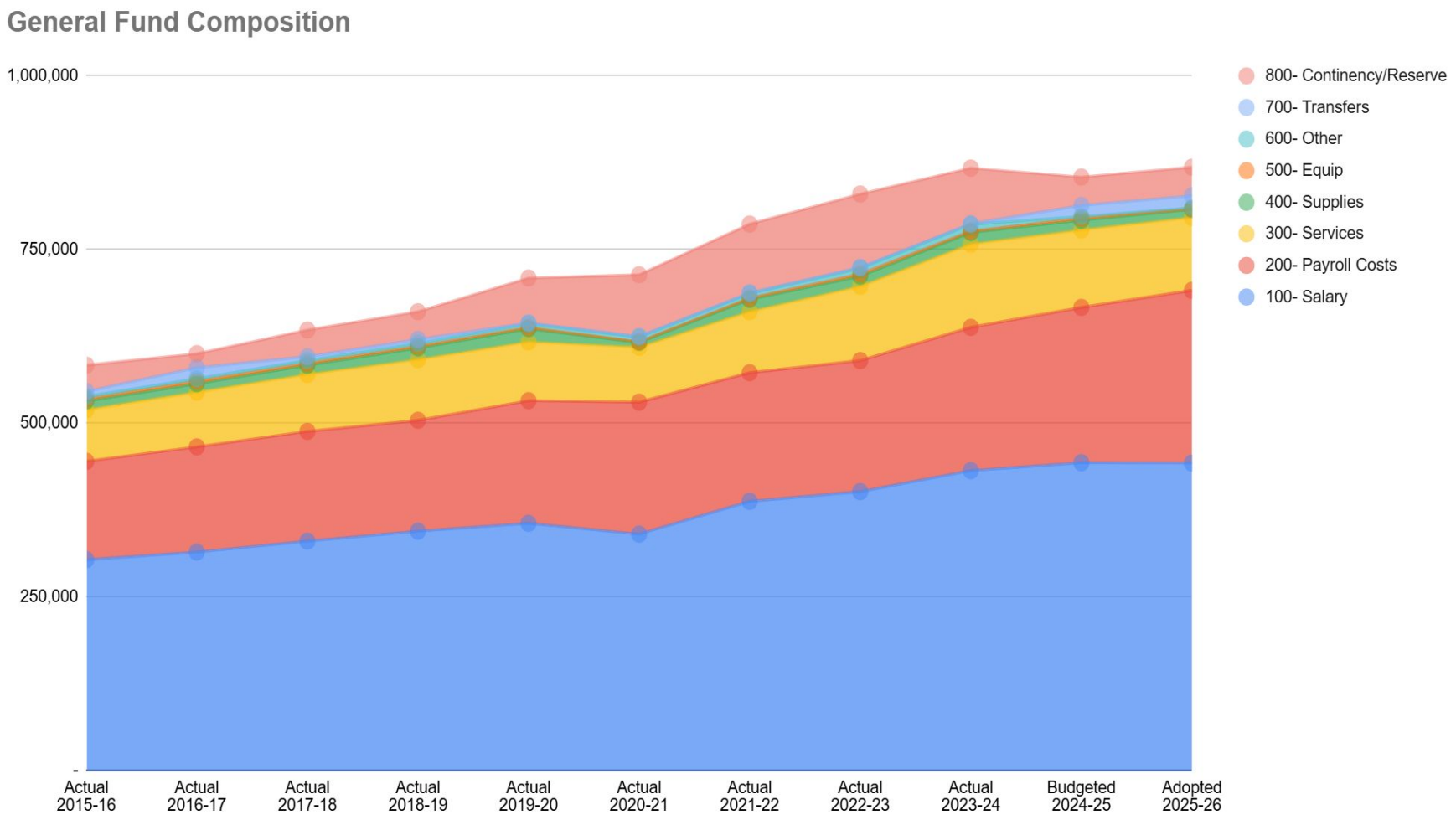


2015-16 to 2025-26 General Fund Expenses (In Thousands)



- ➔ Expenses for staffing have been rising, even with reductions to FTE
- ➔ Contingency has been reduced to the minimum target of 5%
- ➔ Contingency funds are one-time and should not be used for regular staffing or operations

2015-16 General Fund Spending Stacked (In Millions)



- Expenses for staffing have been rising, even with reductions to FTE
- Note: contingency has been reduced to the minimum target of 5%
- Contingency funds are one-time and should not be used for regular staffing or operations

DRAFT: Estimates are preliminary.